

MSRF Inc.,

v.

HMM Company Limited

Docket No. 22-20

Respondent's Brief

Public - Unrestricted

MSRF Inc.	<i>Complainant,</i>	DOCKET NO. 22-20
v.		
HMM Company Limited,	<i>Respondent.</i>	

By: /s/

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**BEFORE THE
FEDERAL MARITIME COMMISSION**

	)	
MSRF Inc.	)	
	)	
<i>Complainant,</i>	)	DOCKET NO. 22-20
	)	
v.	)	
	)	
HMM Company Limited,	)	
	)	
<i>Respondent.</i>	)	
	)	

RESPONDENT HMM COMPANY LIMITED’S OPPOSITION BRIEF

Respondent HMM Company Limited (“HMM”), through the undersigned attorneys, hereby submits this Opposition Brief to the “brief” filed by Complainant MSRF (the “MSRF Brief”) in this action.

**I.
INTRODUCTION**

MSRF brought this action alleging violations of the Shipping Act in a ill-founded attempt to build a case wherein it could obtain a ruling by the Federal Maritime Commission (“FMC” or “Commission”) on MSRF’s claim that HMM breached service contract US2124083 (the “Service Contract”) by failing to ship the minimum quantity commitment (“MQC”). The MSRF Brief lacks a foundation because it is jurisdictionally questionable and fails to structure a factual or legal argument upon which relief can be granted. The MSRF Brief should therefore be denied and this matter dismissed.

To the extent it presents a cogent argument, the MSRF Brief fails to make any legal or factual arguments supporting the alleged Shipping Act violations. Instead, MSRF’s Brief simply recites 46 U.S.C. §§ 41102(c) and 41104(a)(2), (9) and (10) and offers neither facts to support the allegations nor a legal argument explaining how HMM allegedly violated the Shipping Act under

any of the statutes recited. Even if the Commission is inclined to read the MSRF Brief expansively and construct the legal and factual arguments MSRF neglects, discovery has shown that there were no Shipping Act violations as alleged by MSRF. The Commission should therefore deny the MSRF Brief either as legally insufficient to support MSRF's Shipping Act allegations or on the merits.

The Shipping Act claims are mere cover for MSRF's alleged breach of the Service Contract, which is also meritless. MSRF alleges that the Service Contract was breached because HMM only accepted nine (9) bookings for forty foot equivalent unit ("FEU")¹ containers instead of the 25 FEU MQC agreed in the Service Contract. Since the instant action is really just a breach of contract claim, the Commission should deny MSRF's brief and dismiss this case for lack of jurisdiction. But even if the Commission considers MSRF's breach of contract claim, discovery has shown that MSRF in fact shipped 46.875 FEUs during the term of the Service Contract, nearly double the MQC. Accordingly, the Commission is also on solid ground to deny MSRF's Brief to the extent it asserts a breach of contract claim either because the Commission lacks jurisdiction over this claim absent parallel Shipping Act violations or on the merits.

Even if MSRF had somehow constructed a cognizable claim, the damages claimed are totally unsupported and rest solely on an impenetrable, unreliable spreadsheet prepared by [REDACTED]. Even if the MSRF Brief were read charitably, as if it contained legal and factual arguments where it does not, MSRF's claims of damages are only supported by an error-riddled spreadsheet. The MSRF Brief is a shaky edifice incapable of carrying MSRF's burden in this matter and should be

¹ The Parties agreed that FEUs would be calculated so that a 20-foot container equaled 0.50 FEU, a 40-foot container equaled 1.00 FEU, and a 40-foot hi-cube container equaled 1.125 FEU. (Facts ¶ 18)

denied and MSRF's case dismissed.²

II. PROCEDURAL HISTORY

MSRF filed the instant action on August 11, 2022, and HMM answered on September 13, 2022. Pursuant to an Amended Scheduling Order served January 13, 2023 (the "Scheduling Order"), the Court ordered that discovery was to close March 31, 2023. MSRF was directed to file its brief, proposed findings of fact, and appendix on April 21, 2023. Instead, MSRF filed a Motion for Confidential Treatment, along with proposed findings of fact and an appendix.³ On April 24, 2023, at the prompting of the FMC, MSRF also filed a Motion for Summary Disposition (MSRF apparently neglected to serve this motion on April 21). In light of the procedural chaos caused by MSRF's decision to ignore the Scheduling Order, the Court issued an Order on Complainant's Filings, accepting the April 21 and 24 filings as MSRF's Brief and instructing HMM to respond as provided by the Scheduling Order.

III. FACTS

1. The Parties

Complainant MSRF is in the business of manufacturing and importing gourmet foods and gifts. Facts ¶ 1. MSRF relies on David Reich, its founder, and Rochi Mirasol, manager of international logistics, to procure and manage ocean carrier services in transporting MSRF's goods

² HMM respectfully urges the Commission to note MSRF's wildly exaggerated damages claim. MSRF alleged damages "believed to exceed \$1,000,000" in the Verified Complaint, increased this to [REDACTED] in the first damages spreadsheet MSRF produced before amending it to \$1,768,328.68 in a revised damages spreadsheet. MSRF also testified that it suffered damages in this range. Now, MSRF concedes that in fact its damages are no more than \$228,171.52. MSRF's gross overstatement of its claim precluded settlement and led to a massive waste of party and judicial resources. The Commission should therefore entertain a subsequent petition by HMM for the attorney's fees and costs incurred in defending against this baseless litigation.

³ MSRF has engaged in similar antics in its case against Yang Ming under docket no. 22-21. See FMC Docket 22-21, April 24, 2023, Order on Complainant's Filings.

to and from the United States. Facts ¶ 2. Rochi Mirasol and David Reich were both deposed on March 2, 2023 (respectively, the “Mirasol Depo” and the “Reich Depo”). Respondent HMM is a vessel-operating ocean common carrier. Facts ¶ 3.

2. MSRF Sought a Back-Up Agreement with HMM

During the 2021-2022 period, MSRF had service contracts with four ocean carriers: Yang Ming Lines, [REDACTED] for, respectively fifty (50) forty-foot equivalent units (“FEUs”), [REDACTED] FEUs, and [REDACTED] FEUs. Facts ¶¶ 4 - 7. However, during the negotiation period for the 2021-2022 ocean shipping contract season, MSRF encountered difficulty securing space commitments from ocean carriers and sought an additional service contract with HMM. Facts ¶ 8. In other words, MSRF sought a service contract with HMM as a back-up to the ocean carrier contracts with whom MSRF had negotiated [REDACTED] MQCs for its 2021-2022 needs. Facts ¶ 9.

In early 2021, MSRF and HMM entered into negotiations for a service contract. Facts ¶ 10. This negotiation took place during the COVID-19 pandemic when market conditions had been disrupted and ocean shipping services were experiencing significant constraints, colloquially called the “supply chain crisis”, of which MSRF was well aware. Facts ¶ 11. Among other things, the supply chain crisis included shortages of shipping containers, chassis to carry them, workers at all levels, and significant port backlogs in Asia and the United States West Coast. Facts ¶ 12. MSRF has admitted that it was aware of [REDACTED]
[REDACTED] Facts ¶ 13.

Although MSRF now ironically complains that HMM did not ship the MQC, in negotiating the Service Contract MSRF demanded that HMM agree that [REDACTED]
[REDACTED] Facts ¶¶ 13 - 14. HMM offered MSRF a service contract for [REDACTED], but MSRF offered [REDACTED] in response.

Facts ¶ 15. Although this was [REDACTED] HMM could consider, HMM agreed. During negotiations, [REDACTED]

[REDACTED]. Facts ¶ 17.

3. The Service Contract

The negotiations between MSRF and HMM culminated in the Service Contract, which contains a total MQC of [REDACTED] Facts ¶ ¶ 22. The Service Contract provided, *inter alia*, for the shipment of twenty-five (25) FEUs from certain named ports in Asia to certain named destinations in the United States and one named destination in Canada (the “Lanes”). Facts ¶ 25. The Service Contract specifically incorporated Rule 208-A of Tariff HDMU-047. Facts ¶ 26. MSRF was aware that the [REDACTED] [REDACTED] but did not [REDACTED] prior to executing the Service Contract. Facts ¶ ¶ 27-28.

During the term of the Service Contract, it was amended fourteen times (each, an “Amendment”). Facts ¶ 29. Service Contract Amendments 1 through 5 [REDACTED] [REDACTED]. Facts ¶ 30. Service Contract Amendments 6 and 7 [REDACTED] [REDACTED]. Facts ¶ 31. Service Contract Amendments 8 through 12, inclusive, [REDACTED] [REDACTED]. Facts ¶ 32. Service Contract Amendment 13 [REDACTED] [REDACTED] and Service Contract Amendment 14 [REDACTED] [REDACTED] Facts ¶ ¶ 33-34. All of the Service Contract Amendments were signed by MSRF and HMM and were filed with the FMC. Facts ¶ 35.

The Parties agreed that [REDACTED] [REDACTED], i.e., about two (2) per month. Facts ¶ 36. Pursuant to Tariff HDMU-047, Rule 208-A, Clause 7(a) SERVICE COMMITMENT (Non-Performance), the Parties agreed:

The Carrier agrees to make available during the term of this Contract vessel capacity & container equipment adequate to carry (1) the Minimum Quantity Commitment of cargo and (2) at the Carriers option any additional cargo tendered by the Shipper during the term of this Contract. The Shipper agrees that as far as possible cargo committed under this Contract will be shipped evenly throughout the duration of the Contract.

Facts ¶ 37.

In the event that the MQC was not met, the Parties agreed [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] Facts ¶ 38. The Parties agreed:

In the event that the Minimum Quantity Commitment set forth in Appendix is not fulfilled due to Carriers inability to supply space or container equipment for causes not covered in Article 10. on any particular vessel of the Carrier after giving fourteen (14) days booking notice then, upon the Shippers written request within seven (7) working days of such occurrence together with essential supporting documents which are later confirmed to be accurate, shipper may elect one of the following options.

- (i) The Carrier will adjust the contractual Minimum Quantity Commitment set forth in Appendix by the actual quantity of cargo tendered but not carried on the Carriers vessel or on a pro-rate basis, whichever lower. Such pro-rate basis shall be defined as the Minimum Quantity Commitment divided by the Carriers total number of sailings during the term of the Contract.
- (ii) If the Shipper does not elect to reconcile the shortage by reducing the minimum quantity commitment set forth in Appendix with aforementioned method, then such shortage will be reconciled upon expiration of the contract by extending the term of the Contract by {Contract Duration times (x) number of TEUs that was tendered to Carrier per Article (7)(a) herein but failed to be carried divides (/) Total MQC}. The extension of Contract term must be filed in writing on or before the expiration date with FMC as per 46 CFR 530.8. In no case will the extension exceed ten (10) consecutive weeks.

Facts ¶ 39.

MSRF did not [REDACTED]. Facts

¶ 40. Since MSRF failed to [REDACTED],

MSRF extended the service contract by the maximum acceptable term of ten (10) weeks. Facts ¶ 41.

[REDACTED] Facts ¶ 42.

Following Amendment No. 13, MSRF requested an additional amendment [REDACTED]

[REDACTED]. Facts ¶ 43-44. Although HMM

did not have to agree, HMM accepted MSRF's request to [REDACTED]

[REDACTED]. Facts ¶ 45. The Service Contract's term concluded on July 8, 2022. Facts ¶ 47

4. HMM Performed the Service Contract

During the term of the Service Contract, HMM shipped 46,875 FEUs on behalf of MSRF. Facts ¶ 48. This was despite the fact that, during the term of the Service Contract, ocean carrier performance generally was hindered significantly by pandemic-related congestion and equipment shortages. Facts ¶ 49. MSRF has failed to produce any evidence showing that HMM refused to accept cargo tendered by MSRF, such as correspondence or other documents showing a refusal by HMM to ship containers offered for shipment under the Service Contract. Facts ¶ ¶ 50-51, 54.

The extension of the Service Contract term conferred a major windfall on MSRF because it was able to pay 2021 rates for goods shipped in the summer of 2022. Facts ¶ 55. This was so beneficial to MSRF that it was like [REDACTED] In fact, MSRF emailed its customs broker that: [REDACTED]

[REDACTED] Id. MSRF actually wished that [REDACTED]. Id. The

extension of the Service Contract was so beneficial that MSRF shipped 36 FEUs during the final ten (10) weeks of the Service Contract at a savings of [REDACTED] per FEU compared to then-current

[REDACTED] Facts ¶ 57-58. This saved MSRF at least [REDACTED]. Facts ¶ 59.

5. MSRF Has Failed to Support the Alleged Damages Because the Damages Spreadsheet is Unsupported, Contradictory and Impenetrable.

MSRF has provided HMM with several spreadsheets purporting to support MSRF's damages claim. Facts ¶ 60. The first iteration of this damages spreadsheet was produced February 17, 2023, prior to the depositions of MSRF's witnesses. Facts ¶ 61. When deposed, MSRF's witnesses alleged that MSRF was seeking damages of [REDACTED] Facts ¶ 62. However, this first iteration of the damages spreadsheet was riddled with errors and was retracted by MSRF during the depositions of its witnesses. Facts ¶ 63.

MSRF subsequently provided another spreadsheet to support its damage claim for breach of the Service Contract (the "Damages Spreadsheet") and which MSRF includes with the MSRF Brief. Facts ¶ 64. The Damages Spreadsheet is also riddled with fundamental errors which preclude it from being seriously considered as evidence of any kind. Facts ¶ 65. Prepared by [REDACTED], the Damages Spreadsheet is purportedly supported by documents produced during discovery which reflect business records; in fact, the Bates references are simply references to invoices for shipping that show no relation to the alleged damages. Facts ¶ 66-67.

For example, the Damages Spreadsheet contains the details of [REDACTED] containers in the detailed tabs of its Damages Spreadsheet but asserts that [REDACTED] containers were overcharged on the Summary tab. Facts ¶ 68. More specifically, Tab 2's Column V "No of Containers" adds up to [REDACTED] containers while the Tab 1, the Summary Tab, lists [REDACTED] containers for the shipper identified in Tab 2. *Id.* MSRF's Damages Spreadsheet does not identify or provide details regarding shipments that were allegedly transloaded or which required chassis charges due to the fault of HMM; [REDACTED] shipments (some of which include more than one container) contain charges for chassis that were allegedly the result of transloading or required chassis charges. Facts ¶ 69. Notably, the Service Contract provides that MSRF is responsible for chassis charges. (RX0011).

Further confusing the Damages Spreadsheet are shipping charges for air freight which MSRF did not offset with any freight at all (i.e., the usual cost of shipment is not deducted from the claim) as well as confusion in the cited Bates-numbered documents cited in support. Facts ¶ 71. The Damages Spreadsheet also includes a line item suggesting that four containers were shipped while the underlying Bates-numbered documents show records for five containers. Facts ¶ 73.

The Damages Spreadsheet is so convoluted and unclear that it is nonsensical. Without doing an exhaustive analysis of the contents of the Damages Spreadsheet, MSRF has made additional errors in its damages calculations, including by listing at least [REDACTED] instead of [REDACTED] where the column heading calls for the [REDACTED] (See Tab 2, Row 90, Column AG) and other errors. Facts ¶ 74.

MSRF also alleges that chassis and other charges were incurred due to transloading, but the documents provided do not support the alleged damages as stated in the Reich Declaration. Separate charges of [REDACTED], [REDACTED] and [REDACTED] for chassis costs are completely unsupported by the documents cited to for evidence. Facts ¶¶ 75-77. Without an exhaustive analysis of the chassis charges, it is clear that at least [REDACTED] of MSRF's alleged chassis costs of [REDACTED] are unsupported by the evidence cited to by MSRF. Facts ¶ 78. Since MSRF calculates its damages on the basis of average cost of substitute shipment, this kind of discrepancy has an outsize effect on the average cost calculation.

MSRF's Damages Spreadsheet also alleges damages for lanes that were not a part of the Service Contract, including for transport between [REDACTED] [REDACTED]. Facts ¶ 79. In fact, [REDACTED] of the listed shipments ([REDACTED] total

containers) allege damages for containers shipped on routes that were not even part of the Service Contract. Facts ¶ 80. Bizarrely, for each of the instances where a route was not part of the Service Contract, MSRF listed HMM's Service Contract Rate (Row Z on Tab 2 and Row Y on Tab 3) as [REDACTED] Facts ¶ 81. For each of the instances where a route was not part of the Service Contract, MSRF then calculated the difference between HMM's Service Contract Rates and what it paid to ship particular shipments in what it called "Hyundai Difference" (Row AA on Tab 2 and Row Z on Tab 3); where [REDACTED] was listed for HMM's Service Contract Rate, MSRF assumes that the difference includes the [REDACTED]. Facts ¶ 82. In other words, the MSRF damage claim seeks the entire cost of substitute shipments without deducting the normal cost MSRF would have paid HMM. This error adds to unreliability of the Damages Spreadsheet, rendering it unusable.

MSRF's detailed tabs (Tabs 2, 3, and 4) indicate that a total of [REDACTED] was spent on freight for the containers it includes in these tabs; [REDACTED] is attributable to lanes which were not part of the Service Contract. Facts ¶ 83. This further skews the average calculation relied on by MSRF. Considering the myriad problems with the Damages Spreadsheet, it is obvious that this document cannot be relied upon for any purpose, let alone to establish MSRF's damages in the unlikely event that the Commission reaches this issue.

IV. **ARGUMENT**

- 1. MSRF's Brief Should be Denied for Failure To Comply With 46 C.F.R. 502.214(c)(3).**

MSRF's Brief should be denied for failure to conform to the requirements of 46 C.F.R. 502.214(c)(3) because it lacks any "[a]rgument based upon principles of law with appropriate citations". MSRF alleges⁴ the following violations of the Shipping Act:

- i. 46 U.S.C. § 41102(c);
- ii. 46 U.S.C. § 41104(a)(2);
- iii. 46 U.S.C. § 41104(a)(9); and
- iv. 46 U.S.C. § 41104(a)(10).

The MSRF Brief makes no legal argument supporting MSRF's allegations that HMM violated the Shipping Act. Instead, MSRF simply quotes the above four statutory provisions it claims were violated and offers no argument why any action or inaction by HMM constituted a statutory violation. MSRF Brief pp. 2-3. Respondent cannot respond to factual and legal allegations that are not made, and it is inherently unfair for Respondent to be forced to shadow box with non-existent arguments. MSRF's Brief should therefore be denied for failure to comply with 46 C.F.R. 502.214(c)(3).

2. The Record Is Devoid Of Evidence Supporting the Shipping Act Claims

Discovery has shown that the Shipping Act violations alleged in the Complaint are groundless. To the extent that the Commission is inclined to divine the arguments not articulated in MSRF's Brief, the record is devoid of evidence supporting MSRF's allegations.

a. There was no violation of 46 U.S.C. § 41102(c)

The MSRF Brief quotes 46 U.S.C. § 41102(c), but this section of the Shipping Act is not applicable to the transportation of property, and, even it was, there is no evidence HMM violated this statute. Under the Shipping Act, a carrier must "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c). However, the Commission has previously ruled that

⁴ MSRF has abandoned its Claim III, an alleged violation of 46 U.S.C. § 41104(a)(5). See MSRF Brief, fn. 1.

Section 41102(c) does not relate to the transportation of property. *See, e.g., J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419 (ALJ 1962) (claims for loss of or damage to cargo or for damages due to failure to follow routing instructions do not fall within the Act, *citing Pilgrim Furniture Co., Inc. v. American-Hawaiian Steamship Co.*, 2 U.S.M.C. 517 (1941)); *Bills of Lading – Incorporation of Freight Charges*, 3 U.S.M.C. 111, 113 (USMC 1949) (section 17, second paragraph, is confined to the receiving, handling, storing, or delivering of property, to the exclusion of transportation). Even if 46 U.S.C. § 41102(c) did apply to HMM’s transportation of MSRF’s goods, MSRF has failed to adduce any evidence that HMM acted in an unreasonable manner related to MSRF’s property during transportation or otherwise. Since the MSRF Brief does not cite to any evidence that HMM acted unreasonably in “receiving, handling, storing, or delivering” MSRF’s property, this allegation is unsustainable and, to the extent the MSRF Brief demands relief for alleged violations of the section, it should be denied.

b. There was no violation of 46 U.S.C. § 41104(a)(2)

MSRF also alleges that HMM violated 46 U.S.C. § 41104(a)(2) by failing to honor the terms of the Service Contract. Under 46 U.S.C. § 41104(a)(2), HMM was required to provide service “in accordance with the rates, charges, classifications, rules, and practices contained in . . . [the] service contract”. While MSRF falsely alleges that HMM breached the Service Contract by failing to transport the at least twenty-five (25) of MSRF’s containers, in reality HMM shipped 46.875 containers for MSRF during the term of the Service Contract.⁵ There is no doubt that this is true because HMM produced all of the underlying bills of lading for these shipments. Accordingly, in responding to HMM’s First Request for Admissions, MSRF was forced to admit that 46.875 FEUs were carried by HMM during the term of the Service Contract (RX0850-55).

⁵ The MSRF Brief fails to advise the Commission of this fact, which is fatal to MSRF’s claims. There are few charitable readings of this intentional material factual omission.

MSRF also admitted HMM carried 46.875 FEUs in testimony. Reich Tr. 69:1-70:7 (RX0273-74), 81:13-24 (RX0276); Mirasol Tr. 92:13-24 (RX0224). Not only is there no evidence that HMM breached the Service Contract, the evidence overwhelmingly proves that HMM carried more than the MQC during the term of the Service Contract.

c. There was no violation of 46 U.S.C. § 41104(a)(9)

MSRF's Brief also quotes 46 U.S.C. § 41104(a)(9), which prevents a carrier from giving any undue or unreasonable preference to any port. This allegation is also belied by MSRF's own testimony and failure to produce any documents showing that HMM showed any preference for any ports. When asked, MSRF's President, who verified the Complaint, testified as follows:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Reich Tr. 14:13-24 (RX0260).

This testimony ignores the plain language of the Service Contract. Pursuant to Section 6-2 of the Service Contract, HMM agreed to carry MSRF's shipments originating in Ningbo, Shanghai, and Qingdao, as well as all of the other locations sought by MSRF at the time. (RX0015). The Service Contract was then amended fourteen (14) times, with many of these amendments [REDACTED]. This evidence destroys MSRF's allegation of improper port preferences because

all of the requests to add ports were agreed to by HMM. Moreover, MSRF also admitted that [REDACTED]

[REDACTED]

Reich Tr. 15:16-2 (RX0260).

There is simply no credible allegation or evidence, let alone argument, in the MSRF Brief or elsewhere that HMM discriminated against any ports as alleged by MSRF. Since MSRF has admitted [REDACTED] to the extent the MSRF Brief argues that 46 U.S.C. § 41104(a)(9) was violated, the Commission can easily dispose of this argument.

d. There was no violation of 46 U.S.C. § 41104(a)(10)

Similarly lacking both legal argument and merit is MSRF's allegation that 46 U.S.C. § 41104(a)(10) was violated by HMM. The section of the Shipping Act prevents a carrier from unreasonably refusing to deal or negotiate with a shipper. 46 U.S.C. § 41104(a)(10). The allegation that HMM refused to deal with HMM is ludicrous because the gravamen of MSRF's complaint is that HMM breached the Service Contract negotiated by MSRF. Unsurprisingly, when questioned MSRF admitted that [REDACTED]

[REDACTED]

Mirasol Tr. 28:17-20 (RX0208).

Furthermore, once the Service Contract was agreed, MSRF admitted that [REDACTED]

[REDACTED]

Mirasol Tr. 38:19-23 (RX0211).

Like the other supposed Shipping Act violations, MSRF's 46 U.S.C. § 41104(a)(10) allegation is a fiction offered to create cover for MSRF's breach of contract claim. In light of the plain fact that HMM did not refuse to deal with MSRF, as evidenced by the Service Contract itself and MSRF's admissions that [REDACTED]

[REDACTED], the 46 U.S.C. § 41104(a)(10) claim, such as it is, should be denied.

3. MSRF's Brief Should Be Denied Because It Only Claims For Breach of Contract, Not Shipping Act Violations.

MSRF's Brief contains no Shipping Act legal or factual arguments and should be denied because the only relief sought is for damages allegedly suffered "[a]s a result of HMM's failure to comply with its obligations under the relevant service contract . . .". MSRF Brief p. 1. Alleged violations of a service contract are breach of contract actions which are not properly before Commission. See *Cargo One, Inc. v COSCO Container Lines Company, Ltd.* (10/31/00, FMC) Docket No. 99-24 (dismissing breach of contract claim under former 46 USCS Appx § 1707(c) where complainant failed to meet burden showing extraordinary aspects of claim substantially distinguished it from breach of contract claim). The facts pled in MSRF's Complaint, comprising a paltry seven (7) paragraphs, allege only a breach of the Service Contract. MSRF Complaint ¶¶ 21-27. There are no facts pled that support the Shipping Act claims, but, even if there were, the Shipping Act claims are not even argued in MSRF's Brief. The only 'claim' the Commission is left to adjudicate is the alleged breach of the Service Contract. Since the Commission is without jurisdiction to hear MSRF's breach of contract claim, MSRF's Brief, which seeks only breach of contract damages, should be denied.

4. MSRF's Claim Should Be Denied Because the Parties Agreed to Arbitrate Breach of Contract Claims

The MSRF Brief only seeks relief for an alleged breach of the Service Contract, but breach of contract claims are subject to the Service Contract's choice of law and jurisdiction clauses. Pursuant to 46 U.S.C. § 40502(f) "[u]nless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court." *DSR Shipping Co., Inc. v Great White Fleet, Ltd., d/b/a Chiquita Brands, Inc.* (10/2/92, FMC) Docket No. 91-54 (holding that Commission lacked jurisdiction over breach of service contract claim and complainant's exclusive remedy lay with courts). In the case at bar, the parties agreed as follows:

(18) ARBITRATION

In case of a dispute, the carrier and the shipper each agree to submit the matter under dispute to arbitration each appointing an arbitrator and the two so chosen shall select an umpire which shall constitute the Arbitration committee. All data requested in connection with the matter in dispute shall be made available.

Decision of two or more members of the said Committee shall be binding on the parties and the arbitration shall be made under and pursuant to the terms and conditions of the United States Arbitration Act. 9, USC 1 ET.SEQ all of which terms and conditions shall be binding upon the parties hereto. Arbitration shall be held in Dallas, Texas, U.S.A.

Cost of arbitration, including reasonable attorneys fees, may be assessed against one or more party(ies), at the discretion of the arbitrators.

(19) APPLICABLE LAW

This contract shall be subject to the U.S. Ocean Shipping Reform Act of 1998, and shall otherwise be construed and governed by the laws of the Republic of Korea.

(RX0001-06).

There is no doubt that MSRF understood that the Service Contract was subject to arbitration in Dallas, Texas, and controlled by Korean law because MSRF admitted this was the case:

[REDACTED]

[REDACTED]

Mirasol Tr. 71:1-12 (RX0219)

The arbitration provision in the Service Contract is valid and enforceable. *Sea-land Dominicana, S.a. and Sea-land of Puerto Rico, Inc. v. Sea-land Service, Inc.*, 1992 FMC LEXIS 85, *8 (Feb. 21, 1992) (the Commission has long followed the federal policy favoring enforcement of arbitration agreements in contracts, and parties having made the bargain to arbitrate should be held to it “unless Congress itself has evinced an intention to preclude a waiver of judicial remedies for the statutory rights at issue”). Given the paucity of MSRF’s Shipping Act claims and the parties’ agreement that breach of contract claims are subject to Dallas arbitration, the Commission should deny MSRF’s demand for damages under the Service Contract.

5. HMM Did Not Breach the Service Contract and Carried Almost Double the Minimum Quantity Commitment.

Should the Commission determine that the MSRF Brief contains a breach of contract claim worthy of consideration, it will soon discover that this allegation shares the credibility of the Shipping Act complaints. MSRF alleges that “HMM breached its contractual service commitment, providing MSRF only 9 of 25 containers agreed in the service contract.” MSRF Brief p. 3. As MSRF knew when it filed the Complaint, this allegation is false because HMM transported 46.875 FEUs during the term of the Service Contract, a fact admitted by MSRF in its response to HMM’s First Request for Admissions (RX0850-55) and in testimony:

[REDACTED]

[REDACTED]

Mirasol Tr. 88:4-7 (RX0223).

Even though the MQC was for 25 FEUs and HMM had no obligation to transport any containers above this number, MSRF shipped 46.875 FEUs during the term of the Service Contract. (RX0297-0326). To the extent the Commission is inclined to consider MSRF's Brief as seeking damages for breach of the Service Contract this claim should therefore be denied.

Not only did MSRF ship more than the twenty-five (25) FEU MQC permitted under the Service Contract, MSRF took advantage of the ten (10) week extension of the Service Contract Term to make fifteen (15) additional shipments of 36.75 FEUs in addition to the earlier shipments. Mirasol Tr. 88:8-89:6 (RX0223). HMM did not amend the freight rates to reflect then market conditions, with the result that MSRF enjoyed 2021 freight rates in 2022. *Id.* This conferred a large economic benefit on MSRF because market rates during the extension period were at least [REDACTED] per FEU higher than the Service Contract rate. As MSRF admitted:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Mirasol Tr. 88:19-89:6 (RX0223).

The benefit to MSRF of shipping more containers than HMM was required to carry under the Service Contract at below-market rates was significant. In fact, MSRF saved at least [REDACTED]

in shipping costs by taking advantage of the extension and HMM's willingness to transport more than the MQC. As MSRF testified:

[REDACTED]

Mirasol Tr. 91:11-13 (RX0224).

Moreover, MSRF was well aware that the extension of the Service Contract term was a major benefit to MSRF, providing a windfall in saved freight. In correspondence with its customs broker, MSRF wrote: "[REDACTED]

[REDACTED]" (RX0331)

(emphasis added)]. MSRF testified that:

[REDACTED]

Mirasol Tr. 92:13-24 (RX0224).

The testimony thus shows that, in addition to shipping additional containers during the final weeks of the Service Contract, MSRF also sought and received an additional amendment of the Service Contract to add an additional lane to service a customer. In other words, after Service Contract Amendment No. 13 extending the term of the Service Contract by ten (10) weeks was executed,

MSRF sought an additional amendment (Service Contract Amendment No. 14) so that MSRF could [REDACTED] As MSRF admitted:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Mirasol Tr. 78:19-79:6 (RX0221).

There is no question that HMM carried 46.875 FEUs during the term of the Service Contract. MSRF has admitted this is the case and cannot make any credible argument to the contrary. Instead, the MSRF Brief studiously ignores this fatal defect by blithely insisting that only nine (9) FEUs were carried during the term of the Service Contract. Adding insult to injury, MSRF obtained a significant benefit by shipping a large number of containers, well over the MQC, during the term of the Service Contract, reaping a benefit MSRF itself characterized as [REDACTED]. MSRF went on to seek and obtain a further amendment so that it could [REDACTED], which request HMM did not have to accommodate but did. It is beyond cavil that MSRF's supposed breach of contract claim now lays in tatters, lacking any evidence or legal support. The Commission, if it finds jurisdiction and rules on MSRF's breach of contract claim, should deny the MSRF Brief and dismiss this claim with prejudice.

V.
CONCLUSION

MSRF's Brief is a barely cogent legal pleading that fails to meet the basic requirements of a brief and which was improperly filed as a motion despite the Commission's Scheduling Order. The MSRF Brief is so devoid of merit that HMM has, regrettably, been forced to prepare an opposition brief without any meaningful understanding of MSRF's argument because the MSRF Brief fails to cite to facts or law that would support its case. HMM has convincingly demonstrated that, to the extent the MSRF Brief is considered, there are no Shipping Act violations articulated or supported. The ineluctable conclusion is that MSRF's Shipping Act claims are classic "bait and switch" allegations that MSRF hopes will lead to a review of MSRF's breach of contract claims despite the parties' agreement to submit such claims to arbitration. However, whether the Commission or an arbitrator considers MSRF's allegations is ultimately immaterial because MSRF has admitted that HMM carried almost double the required MQC. HMM respectfully submits that the MSRF Brief should therefore be denied and MSRF's claims dismissed with prejudice.

Dated: May 12, 2023

Respectfully submitted,

COZEN O'CONNOR

By: /s/

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 12th day of May, 2023, a true and correct copy of the foregoing Respondent's Brief was served via electronic mail on:

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